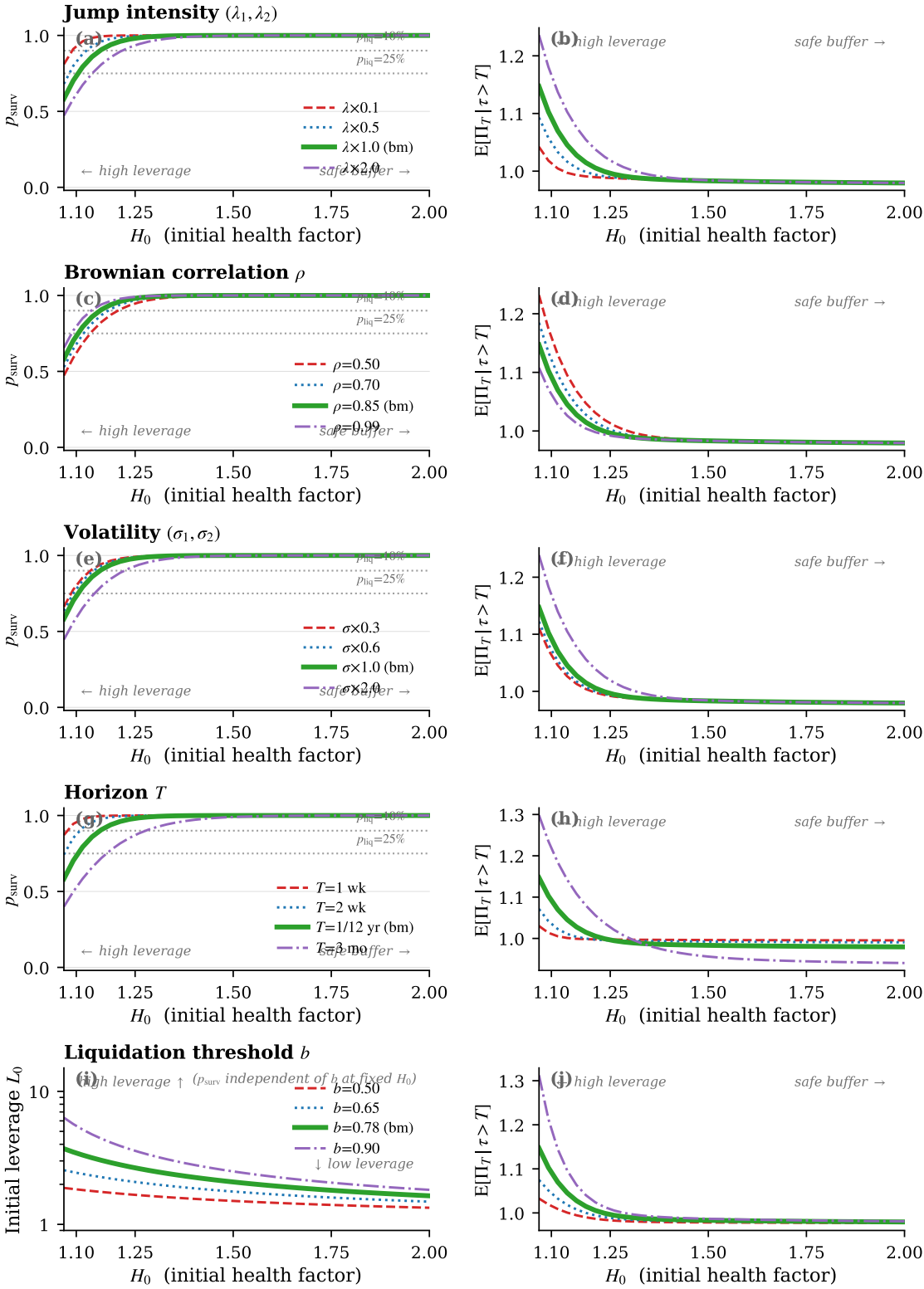

Jump intensity ($\lambda_1, \lambda_2$)
(a)
$p_{\text{liq}}$=10%
$p_{\text{liq}}$=25%
$\lambda$×0.1
$\lambda$×0.5
$\lambda$×1.0 (bm)
$\lambda$×2.0
← high leverage
safe buffer →
$p_{\text{surv}}$
1.0
0.5
0.0
1.10
1.25
1.50
1.75
2.00
$H_0$ (initial health factor)
(b)
high leverage
safe buffer →
$\mathrm{E}[\Pi_T \mid \tau > T]$
1.2
1.1
1.0
Brownian correlation $\rho$
(c)
$\rho$=0.50
$\rho$=0.70
$\rho$=0.85 (bm)
$\rho$=0.99
(d)
Volatility ($\sigma_1, \sigma_2$)
(e)
$\sigma$×0.3
$\sigma$×0.6
$\sigma$×1.0 (bm)
$\sigma$×2.0
(f)
Horizon $T$
(g)
$T$=1 wk
$T$=2 wk
$T$=1/12 yr (bm)
$T$=3 mo
(h)
1.3
Liquidation threshold $b$
(i)
high leverage ↑ ($p_{\text{surv}}$ independent of $b$ at fixed $H_0$)
$b$=0.50
$b$=0.65
$b$=0.78 (bm)
$b$=0.90
↓ low leverage
Initial leverage $L_0$
10
1
(j)